

Submission MICRO1-PS2-SUB08

Question MICRO1-PS2-Q01

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visible work:

$$33 - 4P = 7 + P \Rightarrow P^* = (33 - 7) / (4 + 1) = 5.20 \dots ?$$

last line is hard to read; maybe $P^* = 5.20$, $Q^* = 12.20$

Question MICRO1-PS2-Q02

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visible work:

$$\% \Delta Q = -3 / 28.5 \dots ?$$

last line is hard to read; maybe elasticity = -1.11; elastic

Question MICRO1-PS2-Q03

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visible work:

Shift the wedge between buyer and seller prices by t.... ?

last line is hard to read; maybe buyer price minus seller price equals tax; quantity falls; deadweight loss increases

Question MICRO1-PS2-Q04

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visible work:

$SMC = PMC + \text{marginal external cost}$, so SMC lies above PMC.... ?

last line is hard to read; maybe social MC above private MC; Pigouvian tax can internalize the external cost

Question MICRO1-PS2-Q05

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visible work:

At the ceiling, Q_d exceeds Q_s ?

last line is hard to read; maybe $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units

Question MICRO1-PS2-Q06

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visible work:

$$41 - 2P = 7 + P \Rightarrow P^* = (41 - 7) / (2 + 1) = 11.33 \dots ?$$

last line is hard to read; maybe $P^* = 11.33$, $Q^* = 18.33$

Question MICRO1-PS2-Q07

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visible work:

$$\% \Delta Q = -4 / 38.0 \dots ?$$

last line is hard to read; maybe elasticity = -1.11; elastic

Question MICRO1-PS2-Q08

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visible work:

Shift the wedge between buyer and seller prices by t.... ?

last line is hard to read; maybe buyer price minus seller price equals tax; quantity falls; deadweight loss increases